



Project Zeno

Addendum – CY25 EBITDA analysis

—

December 10, 2024

KPMG LLP
777 Dunsmuir Street
Vancouver BC V7Y 1K3
Canada

Private and confidential

HEALWELL AI Inc.
460 College St, Suite 301
Toronto, Ontario
MG6 1A1
Attention: Anthony Lam, CFO

December 10, 2024

Project Zeno — CY25 Analysis

We have completed this phase of procedures to assist HEALWELL AI Inc. (“Client” or “you”) in performing financial due diligence in connection with your prospective investment (the “Transaction”) in Orion Health (the “Company” or “Target”), in accordance with the terms of our engagement letter dated November 15, 2024, including its Terms and Conditions for Advisory and Tax Services.

Objective

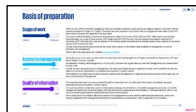
The objective of our engagement was to assist you with your assessment of the risks and opportunities of your prospective acquisition of Target. Our work in this report was based on information provided by you and obtained in an electronic data room and discussions with Target Management. The primary scope of our engagement was to make inquiries and perform analyses based on information made available to us, directed toward those business activities and related financial data of interest to you.

Please review the following documents in the appendices, which set out the basis and limitations of our work performed:

Important notice



Basis of preparation



Scope of work



Basis of Information

The engagement letter describes the procedures we were to perform and are attached herein in Appendix 3. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures selected, and those procedures will not necessarily disclose all significant matters about Target or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. This report was prepared by us on the basis that you provided us with all relevant information you received concerning Target.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board (“AASB”) in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target’s internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was obtained from you and/or Target from November 15, 2024 to December 9, 2024, inclusive. Since many aspects of the transaction with Target have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to December 9, 2024. We have not reviewed this report with Target Management for the purpose of confirming the factual accuracy of the information we presented.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of Target and, as such and as agreed in the engagement letter, is restricted for your internal use only. Accordingly, KPMG does not authorize any recipient or any other third party to rely on this report and any such reliance shall be at recipient’s sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to the recipient or any party other than Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of Client and KPMG.

Yours sincerely,

KPMG LLP

Contents

01 Executive summary	3
Headlines	4
Adjusted income statement	5
Adjusted EBITDA – Run Rate to CY25	6
Updated run rate (Dec-24)	7
ARR trajectory	8
CY25 revenue – recurring revenue project status (1/2)	9
CY25 revenue – non-recurring revenue project status (1/2)	11
02 Appendices	13
Important notice	14
Basis of preparation	15
Scope of work	16
Reported to adjusted P&L	17
ARR	18
Glossary	19
KPMG contacts	20

01

Executive summary

Headlines

Topic	EBITDA
Run rate Read more Run rate has increased from \$11.5 million to \$15.8 million since our last report – as three contracts with total ARR of \$3.5 million have progressed from ‘near-contracted’ to ‘contracted’, and the business has achieved some employee cost reductions (\$0.8 million). There also appears to be some positive traction with Ascend Advanced Healthcare (“AAH”), Zeno’s customer in Saudi Arabia, with a PO expected on December 16 which Management expect will confirm the \$5.1 million of ARR that is included in all run rate scenarios. Further, an \$4.8 million ARR opportunity with Ontario Health is in negotiation, and expected to sign later in December. This contract, if confirmed, would increase run rate to \$20.6 million. We are not aware of any notable churn in ARR impacting run rate since our last report.	Run rate Nov-24: \$11.5 million Run rate Dec-24: \$15.8 million Potential RR Jan-25: \$20.6 million
CY25 EBITDA Read more Projected CY25 EBITDA is \$34.2 million is based on expected revenues of \$137.5 million – including \$93.0 million of recurring revenue, and \$44.5 million of non-recurring revenue. Recurring revenue is 97% contracted or near-contracted for CY25 – and the component of ‘contracted’ revenue has increased from 76% to 80% as a result of the three new ARR contracts included in Dec-24 run rate. ARR has increased from \$75.2 million at Sep-24 to \$84.6 million in the latest run rate, and the business appears to be broadly on track against the planned ramp in ARR, which is forecast to increase to \$100.9 million by Dec-25. Non-recurring revenue of \$44.5 million in CY25 is 50% underpinned by contracted or near contracted opportunities. The remaining opportunities are either specifically identified (31%) or are expected to be generated through conversion of an unweighted pipeline of opportunities worth \$608.9 million (18%). For each ‘unidentified’ opportunity included in CY25’s budget, management have 3-4 active leads – and achievement of the CY25 budget will depend on on-time conversion of both identified and unidentified opportunities over the next twelve months.	CY25: \$34.2 million Note 1: Includes recurring revenue of \$93.0 million, of which 97% is contracted or near-contracted. Note 2: CY25 = forecast year to Dec-25.

Adjusted income statement

This addendum report should be read in conjunction with the Project Zeno financial due diligence report dated December 3, 2024 (“QoE Report”) and includes an updated view of the business’ run rate EBITDA, and additional commentary on the CY25 forecast.

Updated run rate EBITDA of \$15.8 million reflects \$3.5 million of additional contracted wins since the financial due diligence report (up from \$11.5 million), and the AAH contract included in both run rate analyses, appears to be closer to signing, with a PO expected on December 16. Further, Management are anticipating signing a contract extension with Ontario Health for \$4.8 million later in December, which would increase run rate to \$20.6 million. See page 7.

Consistent with the financial due diligence report, 97% of CY25’s recurring revenue and 50% of the non-recurring revenue is either contracted or near-contracted (see pages 9 to 12 for more detail on specific identified opportunities) – although some opportunities have progressed from ‘near contracted’ to ‘contracted’.

Zeno - adjusted						
NZ\$'000	FY23	FY24	TTM Sep-24	Run rate (Nov-24)	Run rate (Dec-24)	CY25
Non-recurring revenue	40,823	45,428	31,494	30,960	30,960	44,451
Recurring revenue	87,364	80,550	77,558	81,160	84,634	93,007
Revenue	128,187	125,978	109,052	112,120	115,595	137,457
Costs of sales/direct costs						
Non-recurring direct costs	(1,281)	(794)	(1,281)	(1,308)	(1,308)	(814)
Recurring direct costs	(19,651)	(18,359)	(18,637)	(19,117)	(19,117)	(21,194)
Direct costs	(20,932)	(19,153)	(19,919)	(20,425)	(20,425)	(22,009)
Net 3rd party revenue/(costs)	2,533	64	321	-	-	45
Professional services	(27,682)	(24,534)	(22,213)	(19,625)	(19,513)	(20,999)
Managed Services	(9,673)	(7,562)	(7,159)	(6,696)	(7,075)	(7,618)
Support	(2,091)	(2,388)	(3,278)	(3,800)	(3,710)	(4,207)
Gross margin	70,342	72,405	56,804	61,574	64,871	82,670
R&D	(23,535)	(21,434)	(21,355)	(20,997)	(19,685)	(17,951)
Customer acquisition	(11,624)	(11,953)	(11,431)	(9,859)	(10,048)	(10,219)
Other	(18,101)	(20,419)	(19,233)	(19,205)	(19,329)	(20,288)
Operating expenses	(53,260)	(53,806)	(52,018)	(50,061)	(49,063)	(48,457)
EBITDA (excl. STI & LTI)	17,082	18,599	4,786	11,513	15,809	34,213
STI	-	-	-	-	-	(2,749)
LTI	(430)	(848)	(424)	-	-	(163)
EBITDA (incl. STI & LTI)	16,652	17,751	4,362	11,513	15,809	31,300
Memo						
Management adjusted EBITDA	16,700	18,848	4,914			35,621
Potential synergies - employees (incl. in EBITDA)	3,196	3,131	3,061	2,699	2,699	2,802
Potential synergies - other costs (incl. in EBITDA)	650	951	872	872	872	1,058
Non-direct expenses						
Employee costs	(76,996)	(71,640)	(69,484)	(64,766)	(63,945)	(64,700)
Non-employee costs	(13,177)	(16,587)	(14,863)	(15,416)	(15,416)	(16,536)

Source: Management model, KPMG analysis.



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CY25 forecast assumptions

Revenue – forecast revenue is based on a detailed build up by client by project/contract. Forecast revenue is modelled by “recurring” and “non-recurring”, and is then divided further into contract status: “contracted”, “near contracted”, “expansion – existing customer”, and “new customer”.

Forecast “contracted” revenue is based on actual contracted revenue amounts for ongoing projects, with “near contracted” and “expansion – existing” related to identified opportunities with specific clients. “New customer revenue” is based on unidentified opportunities, underpinned by Zeno’s pipeline.

A substantial proportion of Zeno’s CY25 revenue is either “contracted” or “near contracted” (81% in total – 97% of recurring and 50% of non-recurring). Risks to CY25’s forecast sales relate to the on time commencement of the identified opportunities, and sufficient conversion of the pipeline to deliver the expected \$44.5 million of non-recurring revenue.

See pages 9-12 for more discussion on forecast revenue.

Direct costs – are based on the associated revenues (i.e. recurring direct costs which primarily relate to AWS hosting costs and managed services direct costs are linked to recurring revenues).

Other costs and operating expenses – is mainly employee costs which are built up from an employee census, which has been rolled forward to reflect anticipated headcount additions / reductions. The majority of operating expenses (professional services, managed services, support) are forecast to increase with the associated revenue stream, and show modest expected growth compared to run rate costs. R&D costs are expected to reduce in CY25 due to the full year impact of planned headcount reductions, some of which have already taken place (see run rate commentary, page 7). Non-employee costs (e.g. R&D, customer acquisition, premises, professional fees) are forecast on a bottom up basis.

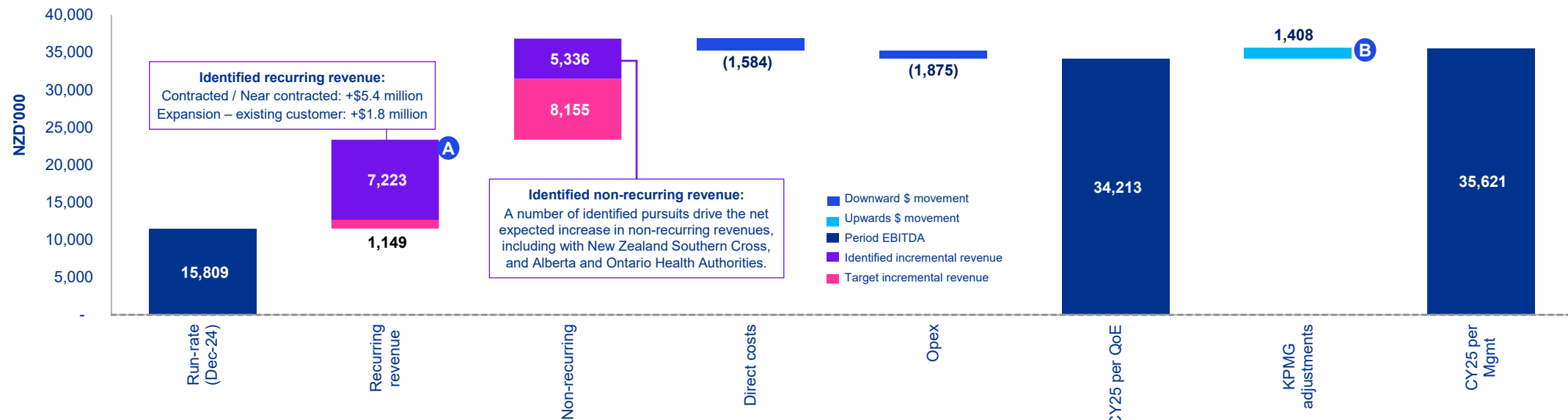
Adjusted EBITDA – Run Rate to CY25

Dec-24 run rate EBITDA of \$15.8 million is \$3.5 million higher than the financial due diligence report (\$11.5 million), as Zeno converted three identified opportunities to contracted wins (see page 7). This reduces the incremental EBITDA required to meet CY25 forecast EBITDA from a \$24.1 million increase to \$19.8 million.

Alongside identified incremental recurring and non-recurring revenue opportunities (\$7.2 million and \$5.3 million respectively), Management explained that they have a number of pipeline opportunities that underpin the targeted recurring and non-recurring revenue to achieve the CY25 forecast (see pages 9 to 12 for more details).

The \$1.6 million increase in direct costs, is driven by higher revenues, with key direct costs (AWS hosting, managed services) scaled in line with recurring revenue growth. Operating expenses are forecast to increase by \$1.9 million from run rate to CY25, as the forecast assumes moderate increases in non-people costs, notably premises, IT and office expenses alongside investment in employee costs linked to forecast revenue growth (professional services, managed services and support employees - \$2.6 million increase) partially offset by R&D employee savings reflected anticipated headcount reductions in Canberra and France (\$1.2 million reduction).

Adjusted EBITDA bridge: Run Rate to CY25



Source: Management model, KPMG analysis.

A Incremental revenue required to hit CY25 EBITDA has reduced from \$10.7 million in the QoE Report to \$7.3 million in this update. The reduction relates to the conversion of \$3.5 million of near contracted opportunities to contracted, with the opening run rate increasing by \$3.5 million. See page 7.

B KPMG adjustments of \$1.4 million relate to the inclusion of normal course bad debt and severance costs (\$0.5 million and \$0.1 million deductions respectively) and the smoothing of billing catch ups across the relevant periods (\$1.3 million deduction), partially offset by the inclusion of expected R&D grant income (\$0.5 million benefit).

Updated run rate (Dec-24)

Findings

Zeno - adjusted				
NZ\$'000	TTM Sep-24	Run rate (Nov-24)	Run rate (Dec-24)	CY25
Non-recurring revenue	31,494	30,960	30,960	44,451
Recurring revenue	77,558	81,160	84,634	93,007
Revenue	109,052	112,120	115,595	137,457
Costs of sales/direct costs				
Non-recurring direct costs	(1,281)	(1,308)	(1,308)	(814)
Recurring direct costs	(18,637)	(19,117)	(19,117)	(21,194)
Direct costs	(19,919)	(20,425)	(20,425)	(22,009)
Net 3rd party revenue/(costs)	321	-	-	45
Professional services	(22,213)	(19,625)	(19,513)	(20,999)
Managed Services	(7,159)	(6,696)	(7,075)	(7,618)
Support	(3,278)	(3,800)	(3,710)	(4,207)
Gross margin	56,804	61,574	64,871	82,670
R&D	(21,355)	(20,997)	(19,685)	(17,951)
Customer acquisition	(11,431)	(9,859)	(10,048)	(10,219)
Other	(19,233)	(19,205)	(19,329)	(20,288)
Operating expenses	(52,018)	(50,061)	(49,063)	(48,457)
EBITDA (excl. STI & LTI)	4,786	11,513	15,809	34,213
STI	-	-	-	(2,749)
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EBITDA (incl. STI & LTI)	4,362	11,513	15,809	31,300
Memo				
Management adjusted EBITDA	4,914			35,621
Potential synergies - employees (incl. in EBITDA)	3,061	2,699	2,699	2,802
Potential synergies - other costs (incl. in EBITDA)	872	872	872	1,058
Non-direct expenses				
Employee costs	(69,484)	(64,766)	(63,945)	(64,700)
Non-employee costs	(14,863)	(15,416)	(15,416)	(16,536)

Approach

The updated run rate analysis at Dec-24 follows the same methodology as the Nov-24 run rate presented in the QoE Report. The only difference being the Dec-24 run rate reflects three contracts, worth \$3.5 million of ARR, that have been won/signed since the Nov-24 run rate was prepared. We expect that the majority of this incremental revenue will convert to EBITDA due to the largely fixed cost base of the business.

- Recurring revenue update (\$84.6 million)** – Is based on ARR from contracted recurring revenue clients/projects at Sep-24 alongside contracted clients/projects that had not commenced and AAH ARR which is expected to be formally contracted imminently. The \$3.5 million recurring revenue run rate increase from Nov-24 to Dec-24 reflects three customers (Newfoundland, NHS Bristol and Gerencia) who were identified as near contracted at Nov-24 and excluded from the run rate at Nov-24. These customers have subsequently signed contracts and are included as contracted ARR in the Dec-24 run rate. See page 9 and 10 for further discussion.
- Employee costs** – are based on the annualized Nov-24 forecast headcount and salary cost. We discussed the changes from the Oct-24 census, used as the basis for the Nov-24 run rate, and confirmed all the headcount changes assumed in Nov-24 had taken place, including the reduction in R&D employees, driving some cost reduction in the latest run rate.
- Non-recurring revenue, direct costs & non-employee operating costs** – Consistent with run rate at Nov-24.

Run rate bridge

Run rate Nov-24	11,513
Dec-24 New contracts (ARR)	
Newfoundland	1,964
NHS Bristol	820
Gerencia	690
New contracts	3,474
Run rate Dec-24	14,987

Recommendation / next step

Recurring revenue pipeline: The run rate at Dec-24 represents the latest view of contracted ARR. Zeno also has a pipeline of near-contracted projects which upon signing will boost recurring revenue going forward – most notably with Ontario Health (\$4.8 million). **Ontario Health is expected to sign in Dec-24, and would increase run rate EBITDA to \$20.6 million;** we recommend that you continue to get regular updates from Zeno on the status of these imminent contracts.

Non-recurring revenue pipeline: Run rate at Nov-24 and Dec-24 has been a reflection of annualized historical monthly average recurring revenue. Similar to recurring revenues, Zeno maintains a pipeline for non-recurring opportunities (notably \$15.2 million of near contracted / expansion with Ontario Health) which are expected to be contracted in the near term. We recommend that you get regular updates from Zeno on the status of these opportunities.

Direct and operating costs: Management states that the recent contract wins factored into the run rate will be delivered by existing resources, with no incremental cost. Note, however, that further investment in the cost base has been forecast for CY25 onwards to support incremental sales.

Source: Management model, KPMG analysis.

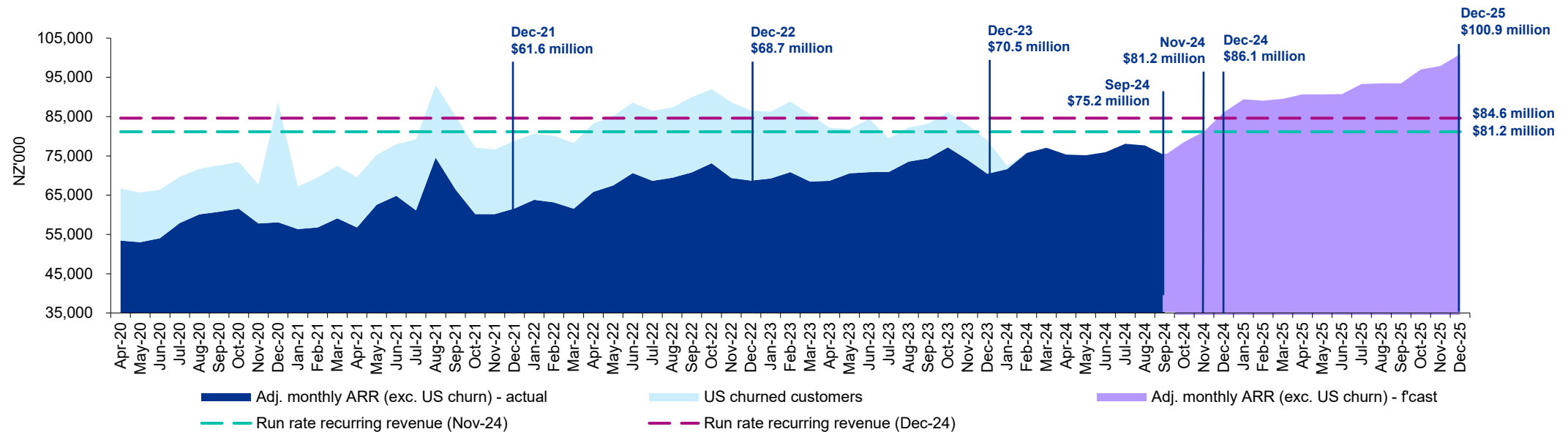
Source: Management model, KPMG analysis.

ARR trajectory

Zeno's ARR has gradually increased over the Historical Period, from \$53.4 million at Apr-20 to \$75.2 million at Sep-24 (excluding the large churned customers in TTM Sep-24 referenced in the QoE Report). Forecast recurring revenue growth over CY25 drives ARR up to \$100.9 million by Dec-25, and the business appears to be broadly on track against plan, with Nov-24 forecast ARR of \$81.2 million in line with the Nov-24 run rate, and Dec-24 forecast ARR of \$86.1 million compared to the latest run rate of \$84.6 million (Management expect to sign a \$4.8 million contract extension with Ontario Health later in December).

This \$25.8 million increase reduces to \$16.3 million when considering ARR per the latest run rate (Dec-24) of \$84.6 million. Current run rate ARR reflects recent contracted wins alongside the imminent AAH contract (see following page for more details on the run rate) and is broadly in line with Dec-24 forecast ARR.

Monthly adjusted ARR



CY25 revenue – recurring revenue project status (1/2)

Findings

CY25 revenue stratification

\$'000

Recurring

Contracted

70,656

Near contracted

A Ascend Advanced Healthcare Solutions (ADO)	5,050
B Ontario Health (OHC)	4,803
C South Island Alliance (SIS)	2,807
Northern Region (NTO)	2,771
Newfoundland and Labrador Health Services (NLC)	2,396
NHS Bristol, North Somerset & South Gloucestershire ICB (AVC)	820
Gerencia Regional de Salud de Castilla y Leon (SGR)	690
Other	98

Near contracted 19,434

Expansion - Existing Customer

B Ontario Health (OHC)	715
Keystone Health Information Exchange (KES)	300
Southern Cross Healthcare Ltd (FIR)	185
Other	569

Expansion - Existing Customer 1,768

New Customer

New DCR04 OH United States	667
New DFD05 OH Canada	250
DCR Opp FY26 106 OH United Kingdom	188
NHS England (ENN)	45

New Customer 1,149

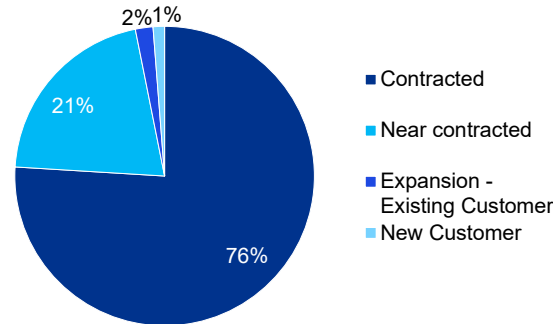
Total recurring revenue 93,007

Total non recurring revenue 44,451

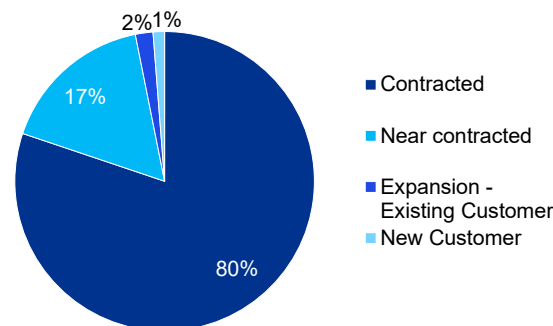
Total revenue 137,457

Source: Management model, KPMG analysis.
Recently contracted / secured

CY25 recurring revenue stratification (FDD report)



CY25 recurring revenue stratification (latest view)



Recurring revenue overview

The analysis presented is identical to the presentation in the QoE Report. Three circled opportunities in the 'near-contracted' caption are now contracted – increasing CY25 contracted revenue coverage from 76% to 80%.

Recurring revenue

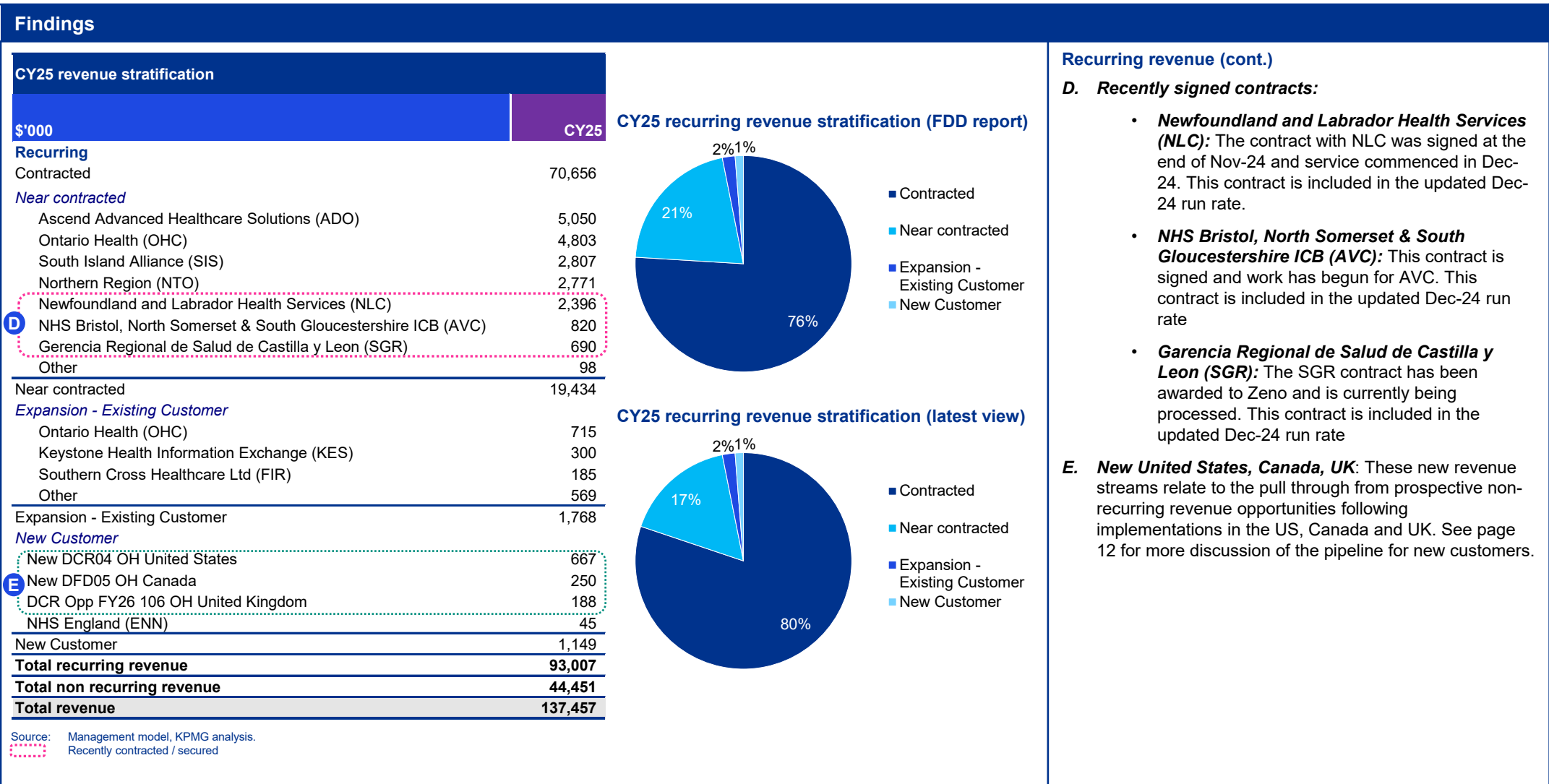
A. Ascend Advanced Healthcare Solutions (AAH):

Revenue related to AAH has been included in run rate EBITDA as Management states they are already providing the service, following a multi-year implementation project and perpetual license purchase. The CY25 recurring revenue relates to support and maintenance associated with the newly implemented system. Management expect to receive a purchase order confirmation on December 16, with a Jan-25 start. Once the \$5.1 million ARR opportunity commences, management plan to bill revenue owed for prior months (including \$1.7 million in TTM Sep-24, presented as an EBITDA upside in the QoE Report).

B. Ontario health (OHC): Zeno operates under two master service agreements with OHC. A new contract is needed for a change agreement if there is a change of fees or services. The near contracted (\$4.8 million) and expansion (\$0.7 million) represent change agreements to existing contracts. Management states that discussions are ongoing and the \$4.8 million opportunity is expected to be finalized in mid Dec-24 with work expected to begin in early 2025.

C. South Island Alliance (SIS) & Northern Region (NTO): Health New Zealand is currently consolidating the Zeno's agreements into one three year master service agreement. Zeno is currently working on extensions with the individual health regions while the master service agreement is finalized. This near contracted revenue represents the extensions to active contracts and will have little net incremental impact on year-on-year revenues.

CY25 revenue – recurring revenue project status (2/2)



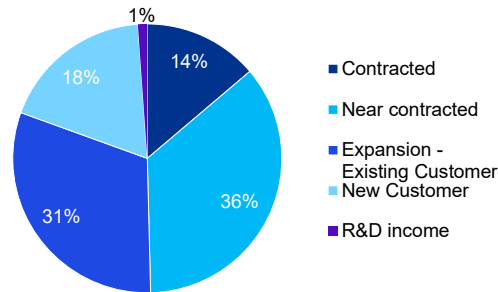
CY25 revenue – non-recurring revenue project status (1/2)

Findings

CY25 revenue stratification	
\$'000	CY25
Total recurring revenue	93,007
Non-recurring	
Contracted	6,134
<i>Near contracted</i>	
A Ontario Health (OHC)	12,853
B Ascend Advanced Healthcare Solutions (ADO)	2,286
Other	778
Near contracted	15,916
<i>Expansion - Existing Customer</i>	
C Abu Dhabi Health Data Services Sole Proprietorship LLC (AHB)	2,528
A Ontario Health (OHC)	2,298
D Southern Cross Healthcare Ltd (FIR)	1,847
E Existing Customer Continued Roadmaps06 OH United Kingdom	1,500
Existing DCRs04 OH United States	1,035
F Alberta Health - Ministry (LBE)	1,033
Other	2,495
Expansion - Existing Customer	13,745
<i>New Customer</i>	
New DCR04 OH United States	3,020
New DFD05 OH Canada	1,725
DCR Opp FY26 106 OH United Kingdom	1,400
DFD Opp FY26 06 OH United Kingdom	700
Additional HIE ME	500
Other	810
New Customer	8,155
R&D income	500
Total non recurring revenue	44,451
Total revenue	137,457

Source: Management model, KPMG analysis.

CY25 non-recurring revenue stratification



Non-recurring revenue overview

CY25 non-recurring revenue is 50% (\$22.1 million) underpinned by contracted or near contracted opportunities. Management expect this to underpin quarterly projected CY25 revenues as follows: Q1 77% / Q2 48% / Q3 27% / Q4 28%. Management expect to close the remaining non-recurring revenue opportunities within the year.

Non-recurring revenue

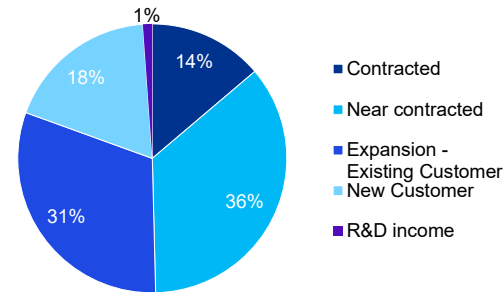
- A. Ontario Health (OHC):** As discussed on page 9, OHC is an ongoing client and there are a number of non-recurring opportunities alongside the recurring opportunities. Notably, Ontario Health H811 which has CY25 forecast revenues of \$11.1 million. Management states this has a CAD\$10 million Government budget with the Q1 CY25 release expected to deliver \$4.0 million in revenue (currently awaiting procurement sign off).
- B. Ascend Advanced Healthcare Solutions (AAH):** Relates to enhancement work linked to the recurring revenue contract discussed on page 9.
- C. Abu Dhabi Health Data Services Sole Proprietorship LLC (AHB):** Zeno indicated they have preferred vendor status relating to the AHB contract leveraging work with AAH and are in negotiation on this contract.
- D. Southern Cross Healthcare Ltd. (FIR):** Relates to expected additional public funding in line with Government budgets.
- E. Existing United States and UK:** Management indicated that each year there is typically enhancement / update work for existing customers. In both the US and UK this expansion could be attributed to a few different customers, however only one update has been included for forecasting purposes.
- F. Alberta Health – Ministry (LBE):** For the LBE contract, Zeno has been selected as the vendor of choice and are currently in negotiations.

CY25 revenue – non-recurring revenue project status (2/2)

Findings

CY25 revenue stratification	
\$'000	CY25
Total recurring revenue	93,007
Non-recurring	
Contracted	6,134
<i>Near contracted</i>	
Ontario Health (OHC)	12,853
Ascend Advanced Healthcare Solutions (ADO)	2,286
Other	778
Near contracted	15,916
<i>Expansion - Existing Customer</i>	
Abu Dhabi Health Data Services Sole Proprietorship LLC (AHB)	2,528
Ontario Health (OHC)	2,298
Southern Cross Healthcare Ltd (FIR)	1,847
Existing Customer Continued Roadmaps06 OH United Kingdom	1,500
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Other	2,495
Expansion - Existing Customer	13,745
<i>New Customer</i>	
G New DCR04 OH United States	3,020
H New DFD05 OH Canada	1,725
I DCR Opp FY26 106 OH United Kingdom	1,400
DFD Opp FY26 06 OH United Kingdom	700
Additional HIE ME	500
Other	810
New Customer	8,155
R&D income	500
Total non recurring revenue	44,451
Total revenue	137,457

CY25 non-recurring revenue stratification



Non-recurring revenue (cont.)

New customers – Management has a pipeline with an unweighted value of \$608.9 million at Nov 17, 2024. The unidentified opportunities have been included in CY25 revenue only when there are 3-4 potential pipeline opportunities that might convert (i.e. an implied expected conversion rate of 25-33%). While it has not been possible to review historical pipeline conversion, or the level of 'confirmed' vs 'opportunistic' revenue at the outset of each year, Management stated that it is not uncommon to receive incremental change order revenues with existing clients with as little as one week of lead-time.

The associated value of the contracts is based on historical average revenues from similar projects. Overall Management believes they have taken a conservative approach to forecasting new customer revenues. Management noted that the associated recurring revenue following on from these non-recurring projects is modelled to commence at the end of the work.

G. New DCR04 OH United States: This opportunity represents one possible new DCR program in the US which Management indicated relates to 4 active conversations with different US customers.

H. New DFD05 OH Canada: This opportunity represents one new DFD customer in Canada which Management states is supported by 3-4 active discussions with Canadian customers (e.g. BC, Alberta etc.).

I. DCR Opp United Kingdom: The UK opportunity represents the revenue from two additional UK DCR contracts. Management indicated this is reinforced by conversations with the UK regarding a technology upgrade across the network. Additionally, Management explained there are ongoing conversations with health providers in Ireland and Wales which could be converted to implementation projects and future license revenue.

Source: Management model, KPMG analysis.

02

Appendices

2.1	Important notice	14
2.2	Basis of preparation	15
2.3	Scope of work	16
2.4	Reported to adjusted P&L	17
2.5	ARR	18

Appendix 1: Important notice

This report is provided to HEALWELL AI Inc. ("Client" or "You") on a confidential basis pursuant to our engagement letter dated November 15, 2024 ("Engagement Letter") and is subject in all respects to the terms and conditions of the Engagement Letter, including restrictions on use of this report by third parties.

If this report is received by any party other than Client, the recipient is placed on notice that this report has been prepared solely for Client's benefit and its own use. KPMG LLP ("KPMG") does not authorize recipient or any other party to rely on this report and any such reliance shall be at recipient's sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to recipient or any other party other than Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of Client and KPMG.

KPMG approach

Our report makes reference to 'KPMG Analysis'; this indicates only that we have (where specified) undertaken certain analytical activities on the underlying data to arrive at the information presented; we do not accept responsibility for the underlying data.

The analysis of 'normalized'/'underlying' earnings is for indicative purposes only. We have sought to illustrate the effect on EBITDA of adjusting for those items identified in the course of our work that may be considered to be 'non-recurring' or 'exceptional' using criteria established by the Vendors/Target. However the selection and quantification of such adjustments are necessarily judgmental. Because there is no authoritative literature or common standard with respect to the calculation of 'normalized'/'underlying' earnings/working capital, there is no basis to state whether all appropriate and comparable adjustments have been made. In addition, while the adjustments may indeed relate to items which are 'non-recurring' or 'exceptional' or otherwise unrepresentative of the trend, it is possible that earnings for future periods may be affected by such items, which may be different from the historical items.

The run rate analysis has been prepared for illustrative purposes. There is no authoritative literature or common standard with respect to the calculation of 'run rate' EBITDA, and therefore there is no basis on which to state whether, in the illustrative analysis of 'run rate' EBITDA, all appropriate and comparable adjustments have been made. We have set out in our report the basis on which items have been included in or excluded from the run rate calculations for particular years. It is for you to satisfy yourselves as to whether the items included or excluded are appropriate for your purposes. The decision as to what items should be included in or excluded from the calculation of 'run rate' EBITDA is highly judgmental; you may choose to interpret the information presented differently.

The prospective financial information set out within our report has been prepared by Target; we do not accept responsibility for such information. We must emphasize that the realization of the prospective financial information is dependent on the continuing validity of the assumptions on which it is based. The assumptions will need to be reviewed and revised to reflect any such changes in trading patterns, cost structures or the direction of the business as they emerge. We accept no responsibility for the realization of the prospective financial information. Actual results are likely to be different from those shown in the prospective financial information because events and circumstances frequently do not occur as expected, and the differences may be material.

Some reporting sections contain links to supplementary data, such as Excel databooks and/or Power BI dashboards. Access to such supplementary data is limited to the recipients of this report and may not be accessible by any third parties. Gaining access to areas within provided supplementary data or to any other online application of KPMG to where access was not granted is not allowed.

Appendix 2: Basis of preparation

Scope of work



Limited

Extensive

KPMG LLP ('KPMG') has been engaged by HEALWELL AI Inc. to prepare a financial due diligence report in connection with the potential acquisition of Orion Health ('Target'). The report has been prepared in accordance with our engagement letter dated November 15, 2024.

This document provides an update on run rate EBITDA and CY25 EBITDA assumptions since our report dated December 3, 2024.

Please refer to the appendices for a detailed [scope reconciliation](#).

Access to management



Limited

Extensive

During the course of our work our main points of contact have been the Management of Target, represented by Sean Church (CFO).

We have had good access to Management, who have been helpful and put a significant amount of time and effort into this due diligence process by responding to our questions and requests in a timely manner.

The contents of our report have not been reviewed by the Management of Target and the factual accuracy of this report has not been confirmed by the Management.

Quality of information



Low

High

The requested information has been provided through the virtual data room. As of the date of this report, all available requested information has been provided in a timely manner.

Our work has relied on certain key sources of information including, but not limited to; (1) Management's financial model which presents the full Target P&L, carve out assumptions and the carved out Zeno P&L with normalization adjustments, (2) supporting schedules to the primary financial model and (3) a full historical sales cube for Target.

We have had access to granular and relevant data i.e., transactional level.

Appendix 3: Scope of work (1/6)

Area	Description	Status	Comment
Run rate / CY25 forecast	a) Update the run rate analysis from the quality of earnings report dated December 3, 2024 to reflect the latest view of contract wins. b) Comment on the EBITDA bridging items for Zeno to get from run rate EBITDA to CY25 forecast EBITDA.	✓	• Completed

Appendix 4: Reported to adjusted P&L

Analysis presents a reconciliation of Management's EBITDA for Zeno to the adjusted P&L presented on page 5, and in the QoE Report.

Reported to adjusted P&L														
NZ\$'000	Zeno (management normalized)				Adjustments				Zeno adjusted				Run rate	
	FY23	FY24	TTM Sep-24	CY25	FY23	FY24	TTM Sep-24	CY25	FY23	FY24	TTM Sep-24	CY25	Run rate (Nov-24)	Run rate (Dec-24)
Revenue														
Non-recurring revenue	40,460	45,330	31,539	44,450	363	97	(45)	1	40,823	45,428	31,494	44,451	30,960	30,960
Recurring revenue	86,905	80,555	77,281	93,766	459	(5)	277	(760)	87,364	80,550	77,558	93,007	81,160	84,634
Revenue	127,365	125,885	108,820	138,216	822	92	232	(759)	128,187	125,978	109,052	137,457	112,120	115,595
Costs of Sales/Direct Costs														
Non-recurring direct costs	(1,281)	(794)	(1,281)	(814)	-	-	-	-	(1,281)	(794)	(1,281)	(814)	(1,308)	(1,308)
Recurring direct costs	(19,651)	(18,502)	(18,709)	(21,194)	-	143	71	-	(19,651)	(18,359)	(18,637)	(21,194)	(19,117)	(19,117)
Direct costs	(20,932)	(19,296)	(19,990)	(22,009)	-	143	71	-	(20,932)	(19,153)	(19,919)	(22,009)	(20,425)	(20,425)
Net 3rd party revenue/(costs)	2,533	64	321	45	-	-	-	-	2,533	64	321	45	-	-
Professional services	(27,666)	(24,517)	(22,196)	(20,983)	(17)	(17)	(17)	(17)	(27,682)	(24,534)	(22,213)	(20,999)	(19,625)	(19,513)
Managed services	(9,656)	(7,546)	(7,142)	(7,601)	(17)	(17)	(17)	(17)	(9,673)	(7,562)	(7,159)	(7,618)	(6,696)	(7,075)
Support	(2,074)	(2,371)	(3,261)	(4,190)	(17)	(17)	(17)	(17)	(2,091)	(2,388)	(3,278)	(4,207)	(3,800)	(3,710)
Gross margin	69,570	72,220	56,550	83,478	772	185	254	(809)	70,342	72,405	56,804	82,670	61,574	64,871
R&D	(23,519)	(21,417)	(21,338)	(17,934)	(17)	(17)	(17)	(17)	(23,535)	(21,434)	(21,355)	(17,951)	(20,997)	(19,685)
Customer acquisition	(11,607)	(11,937)	(11,414)	(10,202)	(17)	(17)	(17)	(17)	(11,624)	(11,953)	(11,431)	(10,219)	(9,859)	(10,048)
Other	(17,744)	(20,018)	(18,884)	(19,722)	(357)	(401)	(348)	(566)	(18,101)	(20,419)	(19,233)	(20,288)	(19,205)	(19,329)
Operating expenses	(52,870)	(53,372)	(51,636)	(47,858)	(390)	(435)	(382)	(599)	(53,260)	(53,806)	(52,018)	(48,457)	(50,061)	(49,063)
EBITDA (excl. STI & LTI)	16,700	18,848	4,914	35,621	382	(249)	(128)	(1,408)	17,082	18,599	4,786	34,213	11,513	15,809
STI	290	-	(907)	(3,178)	(290)	-	907	429	-	-	-	(2,749)	-	-
LTI	(430)	(47)	165	(163)	-	(801)	(589)	-	(430)	(848)	(424)	(163)	-	-
EBITDA (incl. STI & LTI)	16,560	18,801	4,172	32,279	92	(1,050)	190	(979)	16,652	17,751	4,362	31,300	11,513	15,809
Memo														
Potential synergies - employees (incl. in EBITDA)									3,196	3,131	3,061	2,802	2,699	2,699
Potential synergies - other costs (incl. in EBITDA)									650	951	872	1,058	872	872
People costs (incl. in EBITDA)	(76,896)	(71,540)	(69,384)	(64,600)					(76,996)	(71,640)	(69,484)	(64,700)	(64,766)	(63,945)
Non-people operating costs (incl. in EBITDA)	(15,369)	(16,266)	(14,852)	(16,032)					(15,710)	(16,651)	(15,183)	(16,581)	(15,416)	(15,416)

Source: Management model, KPMG analysis.

Appendix 5: Reported to adjusted P&L (alternate view)

Analysis presents an alternate view of Management's EBITDA for Zeno to the adjusted P&L presented on page 5, and in the QoE Report. This approach presents net 3rd party revenue, professional services and support below gross margin, which we understand is consistent with WELL's internal P&L presentation.

Reported to adjusted P&L														
NZ\$'000	Zeno (management normalized)				Adjustments				Zeno adjusted				Run rate	
	FY23	FY24	TTM Sep-24	CY25	FY23	FY24	TTM Sep-24	CY25	FY23	FY24	TTM Sep-24	CY25	Run rate (Nov-24)	Run rate (Dec-24)
Revenue														
Non-recurring revenue	40,460	45,330	31,539	44,450	363	97	(45)	1	40,823	45,428	31,494	44,451	30,960	30,960
Recurring revenue	86,905	80,555	77,281	93,766	459	(5)	277	(760)	87,364	80,550	77,558	93,007	81,160	84,634
Revenue	127,365	125,885	108,820	138,216	822	92	232	(759)	128,187	125,978	109,052	137,457	112,120	115,595
Costs of Sales/Direct Costs														
Non-recurring direct costs	(1,281)	(794)	(1,281)	(814)	-	-	-	-	(1,281)	(794)	(1,281)	(814)	(1,308)	(1,308)
Recurring direct costs	(19,651)	(18,502)	(18,709)	(21,194)	-	143	71	-	(19,651)	(18,359)	(18,637)	(21,194)	(19,117)	(19,117)
Direct costs	(20,932)	(19,296)	(19,990)	(22,009)	-	143	71	-	(20,932)	(19,153)	(19,919)	(22,009)	(20,425)	(20,425)
Gross margin	106,433	106,590	88,830	116,207	822	235	304	(759)	107,255	106,825	89,133	115,448	91,695	95,170
Net 3rd party revenue/(costs)	2,533	64	321	45	-	-	-	-	2,533	64	321	45	-	-
Professional services	(27,666)	(24,517)	(22,196)	(20,983)	(17)	(17)	(17)	(17)	(27,682)	(24,534)	(22,213)	(20,999)	(19,625)	(19,513)
Managed services	(9,656)	(7,546)	(7,142)	(7,601)	(17)	(17)	(17)	(17)	(9,673)	(7,562)	(7,159)	(7,618)	(6,696)	(7,075)
Support	(2,074)	(2,371)	(3,261)	(4,190)	(17)	(17)	(17)	(17)	(2,091)	(2,388)	(3,278)	(4,207)	(3,800)	(3,710)
R&D	(23,519)	(21,417)	(21,338)	(17,934)	(17)	(17)	(17)	(17)	(23,535)	(21,434)	(21,355)	(17,951)	(20,997)	(19,685)
Customer acquisition	(11,607)	(11,937)	(11,414)	(10,202)	(17)	(17)	(17)	(17)	(11,624)	(11,953)	(11,431)	(10,219)	(9,859)	(10,048)
Other	(17,744)	(20,018)	(18,884)	(19,722)	(357)	(401)	(348)	(566)	(18,101)	(20,419)	(19,233)	(20,288)	(19,205)	(19,329)
Operating expenses	(89,732)	(87,742)	(83,915)	(80,586)	(440)	(485)	(432)	(649)	(90,173)	(88,226)	(84,347)	(81,236)	(80,183)	(79,361)
EBITDA (excl. STI & LTI)	16,700	18,848	4,914	35,621	382	(249)	(128)	(1,408)	17,082	18,599	4,786	34,213	11,513	15,809
STI	290	-	(907)	(3,178)	(290)	-	907	429	-	-	-	(2,749)	-	-
LTI	(430)	(47)	165	(163)	-	(801)	(589)	-	(430)	(848)	(424)	(163)	-	-
EBITDA (incl. STI & LTI)	16,560	18,801	4,172	32,279	92	(1,050)	190	(979)	16,652	17,751	4,362	31,300	11,513	15,809
Memo														
Potential synergies - employes (incl. in EBITDA)									3,196	3,131	3,061	2,802	2,699	2,699
Potential synergies - other costs (incl. in EBITDA)									650	951	872	1,058	872	872
People costs (incl. in EBITDA)	(76,896)	(71,540)	(69,384)	(64,600)					(76,996)	(71,640)	(69,484)	(64,700)	(64,766)	(63,945)
Non-people operating costs (incl. in EBITDA)	(15,369)	(16,266)	(14,852)	(16,032)					(15,710)	(16,651)	(15,183)	(16,581)	(15,416)	(15,416)

Source: Management model, KPMG analysis.

Appendix 6: ARR

ARR analysis is presented on a reported currency basis (where foreign currency invoices have been converted to NZD at the month end rate) and a constant currency basis (using the FX rates that have been assumed throughout the forecast).

The Sep-24 ARR of \$75.2 million is the starting point for the run rate, alongside contracted wins since Sep-24 and the imminent AAH contract.

Reported currency

ARR summary						
\$'000	FY21	FY22	FY23	FY24	YTD Sep-24	Sep-24 - Dec-25
Opening	72,465	78,282	85,594	77,089	75,184	
New ADO (Saudi Arabia)	-	-	-	-	-	5,050
Unidentified wins	-	-	-	-	-	6,417
Other new		2,678	261	447	737	792
New		2,678	261	447	737	12,258
Horizon Blue		-	-	(8,767)	-	-
Oklahoma Health Care		-	-	(5,521)	-	-
Iowa Health		-	-	(2,824)	-	-
Other lost		(2,020)	(1,317)	(565)	(1,279)	(253)
Lost		(2,020)	(1,317)	(17,677)	(1,279)	(253)
Upsell		10,372	7,558	7,362	3,769	17,192
Downsell		(6,816)	(5,622)	(1,897)	(3,207)	(3,467)
Cross sell		5,591	8,019	3,098	-	916
Lost services		(2,440)	(1,119)	(19)	(2,673)	(902)
Boomerang		(1,548)	(468)	182	748	11
Closing	72,465	78,282	85,594	77,089	75,184	100,939
Contracted wins @ Nov-24					926	
Contracted wins @ Dec-24					3,474	
AHH (Saudi Arabia)					5,050	
Run rate (Nov-24)					84,634	
Memo - ARR excluding one off churn						
Absolute period-end ARR	59,123	61,575	68,482	77,089	75,184	100,939
ARR growth (%)		4.1%	11.2%	12.6%	(4.9)%	80.2%

Source: Management model, KPMG analysis.

Constant currency

ARR summary						
\$'000	FY21	FY22	FY23	FY24	YTD Sep-24	Sep-24 - Dec-25
Opening	80,498	85,348	88,180	76,587	76,530	
New ADO (Saudi Arabia)	-	-	-	-	-	5,050
Unidentified wins	-	-	-	-	-	6,417
Other new		2,899	267	447	726	792
New		2,899	267	447	726	12,258
Horizon Blue		-	-	(9,098)	-	-
Oklahoma Health Care		-	-	(5,730)	-	-
Iowa Health		-	-	(2,930)	-	-
Other lost		(2,146)	(1,370)	(596)	(1,261)	(256)
Lost		(2,146)	(1,370)	(18,354)	(1,261)	(256)
Upsell		10,639	4,791	5,230	4,531	15,900
Downsell		(8,173)	(7,440)	(2,125)	(2,159)	(3,400)
Cross sell		6,163	8,228	3,077	-	917
Lost services		(2,701)	(1,155)	(20)	(2,673)	(898)
Boomerang		(1,830)	(489)	152	779	(1)
Closing	80,498	85,348	88,180	76,587	76,530	101,049
Contracted wins @ Nov-24					926	
Contracted wins @ Dec-24					3,474	
AHH (Saudi Arabia)					5,050	
Run rate (Nov-24)					85,981	
Memo - ARR excluding one off churn						
Absolute period-end ARR	64,791	66,196	70,422	76,587	76,530	101,049
ARR growth (%)		2.2%	6.4%	8.8%	(0.1)%	74.3%

A Sep-24 ARR of \$75.2 million increases to \$84.6 million per the latest run rate due to contracted wins in Nov-24 (\$0.9 million) and Dec-24 (\$3.5 million), alongside AAH ARR (\$5.1 million).

Appendix 7: Glossary of terms and abbreviations

\$'000	NZ dollars thousands
'm	Million
AAH	Ascend Advanced Healthcare
AASB	Auditing and Assurance Standards Board
AP	Accounts payable
AR	Accounts receivable
ARR	Annual recurring revenue
AWS	Amazon Web Services
BS	Balance sheet
CFO	Chief Financial Officer
COGS	Cost of goods sold
CYXX	Calendar year ended December 31, 20XX
EBITDA	Earnings before interest, tax, depreciation and amortization
ENT	Enterprise
ERP	Enterprise resource planning
FTE	Full-time equivalent
FX	Foreign exchange
FYXX	Fiscal year ended March 31, 20XX
HEALWELL	Healwell AI Inc.
HIP	Health Intelligence Platform
HR	Human resource

IFRS	International Financial Reporting Standards
IT	Information technology
L3M	Last 3 months to Sep-24
LOI	Letter of intent
LTI	Long term incentive
Management	Management of the target. In this report Sean Church (CFO)
Mgmt.	Management of the target. In this report Sean Church (CFO)
NZD	NZ dollars
Opex	Operating expenses
Orion Health	Orion Healthcorp, Inc.
P&L	Profit and loss statement
PO	Purchase order
QoE	Quality of earnings
QoE Report	Project Zeno financial due diligence report dated December 3, 2024
R&D	Research and development
SPA	Sale and purchase agreement
STI	Short term incentive
TSA	Transaction service agreement
TTM Sep-24	Trailing twelve months ended Sep-24
US	The United States of America
WELL Health	WELL Health Technologies Corp.



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